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Zebra Technologies Third Quarter 2019 Results

October 29, 2019

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Anders Gustafsson, CEO | Olivier Leonetti, CFO | Joe Heel, SVP Global Sales

3Q19 Highlights

+3.5%

NET SALES
GROWTH

+3.0%⁽¹⁾ Organic

22.7%

ADJUSTED
EBITDA MARGIN

+160bps YOY Improvement

\$3.43

NON-GAAP
DILUTED EPS

+19.1% from 3Q18

⁽¹⁾ Assumes constant FX to prior year period and excludes revenue from acquisitions for the 12 months following each respective acquisition date

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Third-Quarter P&L Summary⁽¹⁾

In millions, except per share data	3Q19	3Q18	Growth
Net Sales	\$1,130	\$1,092	+3.5%
Organic Net Sales Growth ^(2,3)			+3.0%
Adjusted Gross Profit	\$539	\$507	+6.3%
Adjusted Gross Margin	47.7%	46.4%	+130 bps
Adjusted EBITDA	\$257	\$230	+11.7%
Adjusted EBITDA Margin	22.7%	21.1%	+160 bps
Non-GAAP Diluted EPS	\$3.43	\$2.88	+19.1%

SEGMENT ORGANIC SALES GROWTH^(2,3)

AIT Segment +3.5%
EVM Segment +2.7%

REGIONAL ORGANIC SALES GROWTH^(2,3)

North America +6%
EMEA +2%
Asia Pacific (5)%
Latin America (2)%

EBITDA IMPROVEMENT

Higher gross profit margin
Lower operating expense as a percent of sales

STRONG EPS GROWTH

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

⁽²⁾ Assumes constant FX to prior-year period

⁽³⁾ Excludes revenue from acquisitions for the 12 months following each respective acquisition date

Balance Sheet and Cash Flow Highlights



Cash Flow

- \$376M free cash flow through YTD 3Q19
- Higher use of working capital primary driver of \$36M lower free cash flow vs YTD 3Q18
- \$20M share repurchases through end of Q3 under the \$1B authorization announced on July 30



Liquidity and Debt

- \$33M in cash & cash equivalents as of 3Q19
- \$1.5B total debt on balance sheet as of 3Q19
- Net-debt-to-adjusted-EBITDA ratio of 1.6x (Target range: 1.5x - 2.5x)

Actions to Mitigate Sec 301 Tariffs by Mid-2020

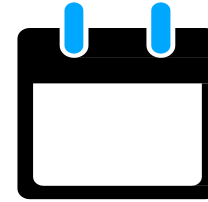
- Zebra has been manufacturing the majority of products in China, like many other tech companies
- Sec 301 tariffs (customs duties) impact the U.S. imports of Chinese-sourced goods
- Zebra's moving forward with global product sourcing diversification plans, regardless of the fluid tariff situation
 - Working with our contract manufacturing partners to replicate production lines, in order to move most of our U.S. imports to broader Asia
 - Expect up to \$30M of one-time charges (pre-tax) from 4Q19 through 2Q20, plus \$10-15M capex investment
- Lists 1-3: Mitigation actions complete; tariffs impacted certain Zebra scanners, components, and accessories
 - Effective July 1: U.S. increased tariffs to 25% from 10%
 - Delayed: Increase of tariffs to 30% from 25% (previously scheduled for Oct. 15)
- List 4: Expect to substantially mitigate by mid-2020...would face >\$100M of annualized tariffs if not addressed
 - In August, the U.S. Trade Representative announced List 4
 - Effective Sep. 1: 15% tariff on printers and non-cellular mobile computers (announced in Aug.)
 - Effective Dec. 15: 15% tariff effective on cellular mobile computers (announced in Aug.)
 - \$2M negative gross profit impact from tariffs in 3Q19
 - \$5-10M negative gross profit net impact expected in 4Q19, peaking in Q1 at \$15-25M, then moderating through mid-2020 as we launch alternate sources of supply
 - Will begin to avoid tariffs as new production lines ramp up during first half of 2020
 - Impacts noted above are net of our modest market pricing adjustments on selected products

Outlook & Assumptions



4Q19

- Net sales growth 4-6% assumes ~ 1 percentage point additive impact from recently acquired businesses⁽¹⁾ and ~ 1 percentage point negative impact from FX
- Adjusted EBITDA margin 22-23%
- Adjusted diluted EPS range \$3.55 to \$3.75
- ~ **\$5-10M gross profit net impact from recently enacted List 4 tariffs**



FY19 Assumptions

- Net sales growth of >6% vs. FY18 (based on 4Q19 outlook)
- Adjusted EBITDA margin ~ 22% (based on 4Q19 outlook)
- Free cash flow of at least \$625M
- Capital expenditures ~ 1.5% of sales
- Depreciation ~ \$75M and Amortization ~ \$102-104M
- Stock-based compensation expense \$55-60M
- Pre-tax cost of debt ~ 4%
- Non-GAAP tax rate ~ 16% to 17%
- Impact from U.S. tariffs on products manufactured in China

(1) Temptime Corporation acquired on February 21, 2019. Profitect Inc. acquired on May 31, 2019

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Enabling Visibility at the Enterprise Edge



Advancing Our Enterprise Asset Intelligence Vision

Framework	Recent Examples	Area of Opportunity
Act Direct Best Next Move	 	Intelligent Automation
	Developer Partner Ecosystem	
Analyze Real-Time Analytics	 	Machine Learning / Artificial Intelligence
Sense Identity Location Status		Computer Vision

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Appendix

Use of Non-GAAP Financial Information

This press release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra's operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year period. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation

	Three Months Ended		
	September 28, 2019		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	5.7%	2.4%	3.5%
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	0.8%	1.3%	1.2%
Impact of acquisitions ⁽²⁾	(3.0)%	(1.0)%	(1.7)%
Organic Net sales growth	3.5%	2.7%	3.0%

	Nine Months Ended		
	September 28, 2019		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	4.2%	8.3%	6.9%
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	0.9%	1.1%	1.1%
Impact of acquisitions ⁽²⁾	(2.6)%	(1.8)%	(2.1)%
Organic Net sales growth	2.5%	7.6%	5.9%

- (1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, rather than the exchange rates in effect during the current period. In addition, we exclude the impact of the company's foreign currency hedging program in the prior year periods.
- (2) For purposes of computing Organic Net sales, amounts directly attributable to the Xplore acquisition (included in our consolidated results beginning August 14, 2018), the Temptime acquisition (included in our consolidated results beginning February 21, 2019), and the Profitect acquisition (included in our consolidated results beginning May 31, 2019) are excluded for twelve months following the respective acquisition dates.

GAAP to Non-GAAP Gross Margin Reconciliation

	Three Months Ended					
	September 28, 2019			September 29, 2018		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales	\$ 373	\$ 757	\$ 1,130	\$ 353	\$ 739	\$ 1,092
Reported Gross profit ⁽¹⁾	187	351	535	172	334	505
Gross Margin	50.1%	46.4%	47.3%	48.7%	45.2%	46.2%

<u>Non-GAAP</u>						
Adjusted Net sales	\$ 373	\$ 757	\$ 1,130	\$ 353	\$ 739	\$ 1,092
Adjusted Gross profit ⁽²⁾	187	352	539	173	334	507
Adjusted Gross Margin	50.1%	46.5%	47.7%	49.0%	45.2%	46.4%

	Nine Months Ended					
	September 28, 2019			September 29, 2018		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales	\$ 1,100	\$ 2,193	\$ 3,293	\$ 1,056	\$ 2,025	\$ 3,081
Reported Gross profit ⁽¹⁾	553	1,009	1,556	528	915	1,442
Gross Margin	50.3%	46.0%	47.3%	50.0%	45.2%	46.8%

<u>Non-GAAP</u>						
Adjusted Net sales	\$ 1,100	\$ 2,193	\$ 3,293	\$ 1,056	\$ 2,025	\$ 3,081
Adjusted Gross profit ⁽²⁾	554	1,011	1,565	529	917	1,446
Adjusted Gross Margin	50.4%	46.1%	47.5%	50.1%	45.3%	46.9%

(1) Consolidated results include corporate eliminations related to business acquisitions that are not reported in segment results.

(2) Adjusted Gross profit excludes purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

	Three Months Ended		Nine Months Ended	
	September 28, 2019	September 29, 2018	September 28, 2019	September 29, 2018
Net income	\$ 136	\$ 127	\$ 375	\$ 306
Adjustments to Cost of sales ⁽¹⁾				
Purchase accounting adjustments	3	1	6	1
Share-based compensation	1	1	3	3
Total adjustments to Cost of sales	4	2	9	4
Adjustments to Operating expenses ⁽¹⁾				
Amortization of intangible assets	26	25	84	71
Acquisition and integration costs	12	6	20	8
Legal settlement	—	—	—	13
Share-based compensation	11	11	40	37
Exit and restructuring costs	—	4	2	9
Product sourcing diversification initiative	1	—	1	—
Total adjustments to Operating expenses	50	46	147	138
Adjustments to Other expenses, net ⁽¹⁾				
Debt extinguishment costs	3	—	3	—
Amortization of debt issuance costs and discounts	4	3	6	13
Investment gain	—	—	(3)	(1)
Foreign exchange loss (gain)	(2)	1	2	5
Forward interest rate swaps loss (gain)	4	(6)	27	(24)
Total adjustments to Other expenses, net	9	(2)	35	(7)
Income tax effect of adjustments ⁽²⁾				
Reported income tax expense	23	16	44	70
Adjusted income tax	(35)	(33)	(98)	(82)
Total adjustments to income tax	(12)	(17)	(54)	(12)
Total adjustments	51	29	137	123
Non-GAAP Net income	\$ 187	\$ 156	\$ 512	\$ 429
GAAP earnings per share				
Basic	\$ 2.52	\$ 2.37	\$ 6.95	\$ 5.72
Diluted	\$ 2.50	\$ 2.34	\$ 6.87	\$ 5.64
Non-GAAP earnings per share				
Basic	\$ 3.47	\$ 2.92	\$ 9.49	\$ 8.02
Diluted	\$ 3.43	\$ 2.88	\$ 9.38	\$ 7.92
Basic weighted average shares outstanding	54,085,500	53,740,174	53,999,044	53,516,859
Diluted weighted average and equivalent shares outstanding	54,637,823	54,424,880	54,610,091	54,237,553

(1) Presented on a pre-tax basis

(2) Represents adjustments to the GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions) and to exclude the impacts of certain discrete income tax items.

GAAP to Non-GAAP EBITDA Reconciliation

	Three Months Ended		Nine Months Ended	
	September 28, 2019	September 29, 2018	September 28, 2019	September 29, 2018
Net income	\$ 136	\$ 127	\$ 375	\$ 306
Add back:				
Depreciation	18	20	55	60
Amortization of intangible assets	26	25	84	71
Total Other expenses, net	26	19	85	55
Income tax expense	23	16	44	70
EBITDA (Non-GAAP)	229	207	643	562
Adjustments to Cost of sales				
Purchase accounting adjustments	3	1	6	1
Share-based compensation	1	1	3	3
Total adjustments to Cost of sales	4	2	9	4
Adjustments to Operating expenses				
Acquisition and integration costs	12	6	20	8
Legal Settlement	—	—	—	13
Share-based compensation	11	11	40	37
Exit and restructuring costs	—	4	2	9
Product sourcing diversification initiative	1	—	1	—
Total adjustments to Operating expenses	24	21	63	67
Total adjustments to EBITDA	28	23	72	71
Adjusted EBITDA (Non-GAAP)	\$ 257	\$ 230	\$ 715	\$ 633
Adjusted EBITDA % of Adjusted Net Sales	22.7%	21.1%	21.7%	20.5%

GAAP to Non-GAAP Free Cash Flow Reconciliation

	Nine Months Ended	
	September 28, 2019	September 29, 2018
Net cash provided by operating activities	\$ 420	\$ 460
Less: Purchases of property, plant and equipment	(44)	(48)
Free cash flow (Non-GAAP) ⁽¹⁾	\$ 376	\$ 412

(1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.